Business Reader : Session 3

10 September 2026 · 90 minutes

0. Recap

BUSINESS READER

Session Outcomes

1. Reading Framework

Scan newsrooms, multi-pass, argument comprehension

2. Business Accumen

NTV, Revenue, different measures of Profitability

3. Article Analysis & Data Restructuring

Pyramid, tabular visualization, trend analysis

4. POV Formulation

Prediction, what makes it true or un-true

1. Reading Framework

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How to read business news ?

3 PASSES

- Understand the shape
- Extract all data
- Draw the Minto Pyramid
  - Conclusion
  - Key Arguments
  - Detailed Information

2 TESTS

- Check the source
- Visualize data

1 PREDICTION

Form a forward looking POV

and the conditions

which prove or disprove it

Pre-requisite : Business vocabulary (article, company, industry) to aid comprehension

2. Business Accumen

PART 1 · BEFORE THE ARTICLE

Understanding the company

Four things to know before taking a point of view.

Start here	What you should be able to explain
The company	How a booking on the app becomes a service at home
The businesses	Which services and products Urban Company sells
The structure	A segment, the whole company and the Saudi joint venture
The financial words	Where the customer’s rupee goes, and what each line measures

Source: supplied Part 1 handout; Urban Company Q1 FY27 shareholders’ letter.

What Urban Company sells

An Indian home-services platform with more than eleven years of operations.

Business	What the customer buys
India home services	Beauty and salon, cleaning, pest control, plumbing, electrical work, appliance repair and handyman jobs
International	The same home services in the UAE and Singapore
Native	Water purifiers, smart locks and replacement filters
InstaHelp	A professional arrives within minutes for a short household task

Source: supplied Part 1 handout; Urban Company Q1 FY27 shareholders' letter.

The customer pays: NTV

Unit economics follows the revenue and costs associated with a unit of activity.

Net Transaction Value	What the company's definition includes
Customer payment	After discounts and cancelled bookings have been removed
Taxes	Included in NTV
"Net"	Net of discounts and cancellations, not net of tax

A ₹1,000 booking contributes ₹1,000 of NTV.

It does not automatically create ₹1,000 of company revenue.

Source: supplied Part 1 handout; Urban Company Q1 FY27 shareholders' letter.

How NTV becomes revenue

India home services. Segment totals scaled to ₹1,000 of NTV.

Revenue component	₹ per ₹1,000 NTV	Calculation
Services revenue	**274.6**	290 ÷ 1,056 × 1,000
Products sold to professionals	**62.5**	66 ÷ 1,056 × 1,000
Revenue from operations	**337.1**	356 ÷ 1,056 × 1,000

Take rate is the platform's fee as a share of transaction value. The 27.5% services-revenue ratio is a segment average, not a verified commission on one salon booking.

Source: supplied Part 1 handout; Urban Company Q1 FY27 shareholders' letter.

The same ₹1,000, all the way down

Illustrative scaling of the segment's quarterly accounts, not a literal salon receipt.

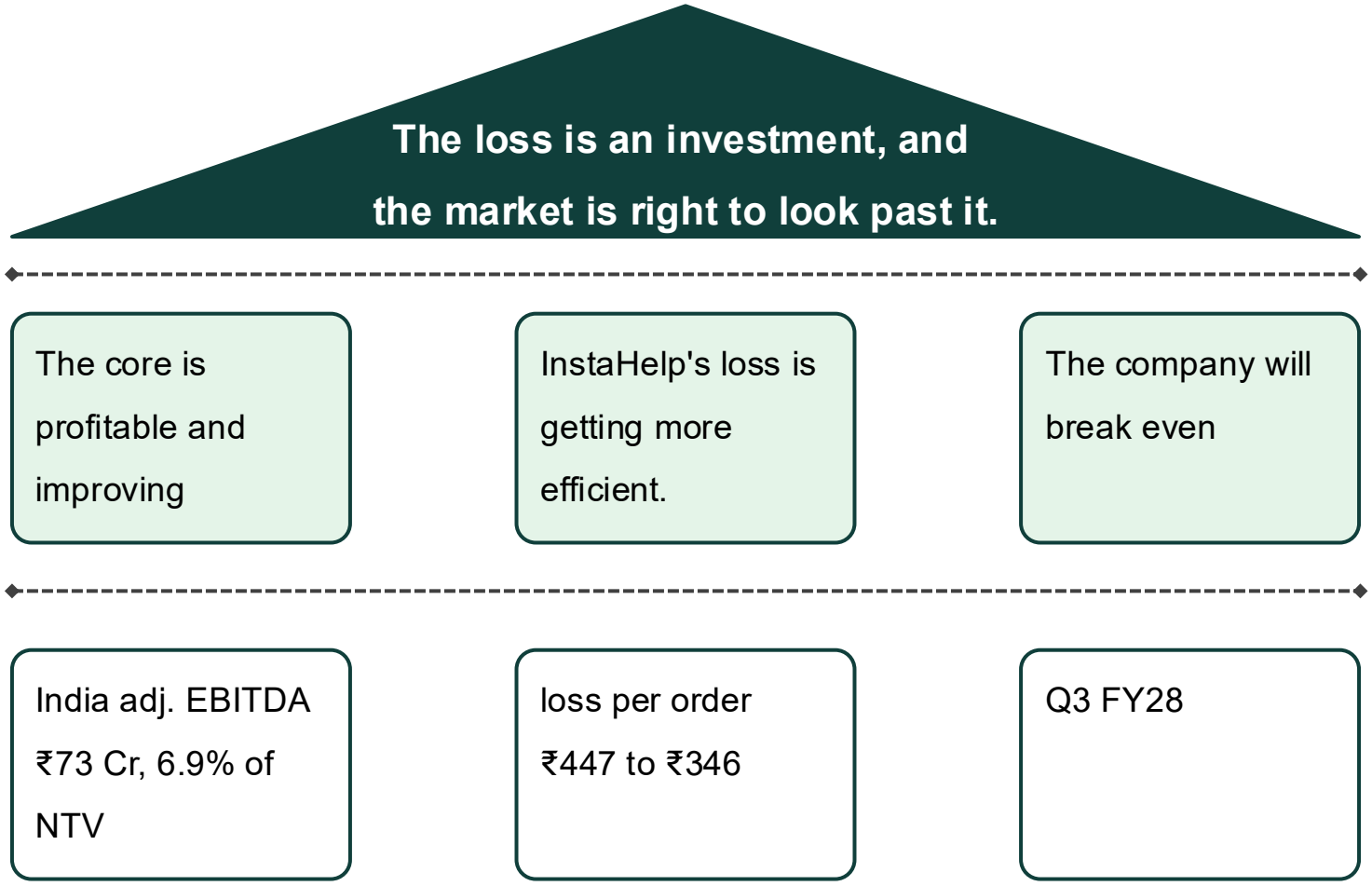
Stage	₹ per ₹1,000 NTV	Calculation
Customer spending: NTV	1,000	Reference amount
Revenue from operations	337	356 ÷ 1,056 × 1,000
Gross profit	272	287 ÷ 1,056 × 1,000
Contribution profit	214	226 ÷ 1,056 × 1,000
Adjusted EBITDA	**69**	73 ÷ 1,056 × 1,000

Each line answers a different question about the same business.

3. Article Analysis & Data Restructuring

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Step 1 : 3 Passes



CARD 5 · CLASS ONLY

Did the company get better?

Adjusted EBITDA margin (%). YoY comparison.

Segment	Q1 FY26	Q1 FY27	Direction
India Consumer Services ex InstaHelp	5.2%	6.9%	better
International	(2.0)%	1.1%	better
Native	(11.4)%	(7.3)%	better
InstaHelp	launch quarter	(249)%	not comparable
Whole company	**2.0%**	**(4.4)%**	**worse**

Did the company get better?

Source: Urban Company Q1 FY27 shareholders' letter. ₹ Cr unless stated.

TAKEAWAYS 1 AND 2 OF 5

A company can improve on every line it reports and still get worse.

Change in profit over change in revenue. Below the base, growth dilutes.

CARD 1A

The opening sentence

"Urban Company slipped back into the red in the June quarter, but investors seemed willing to look past the loss. Its shares jumped as much as 18 per cent in the first trading session after the results, despite the home-services platform reporting a net loss of ₹92.12 crore."

Whole company. Article's basis: YoY, implied by "back".

Metric	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ	YoY
Profit after tax (PAT) (₹ Cr)	**7**	(59)	(21)	(161)	**(92)**	loss narrowed 43%	**profit to loss**
Share price after results (NSE close-to-close)	not listed	−3.64%	−1.89%	−9.74%	+12.98%		
Profit before tac (PBT) (not in the article)	6	(59)	(21)	(100)	(84)	loss narrowed 16%	profit to loss

Price row: NSE close-to-close. The article's +18% quote refers to intraday trading.

Question. "Slipped back into the red." Read the PAT row left to right. Back from where? Then the share price row: four results, four reactions, one positive. Which of the four does the article's theory about investors explain?

CARD 1B

The ladder from PBT to PAT

Whole company. Basis: the two rows the article should have compared.

Step	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ	YoY
Profit before tax	6	(59)	(21)	(100)	(84)	loss narrowed 16%	
One-time items below adj. EBITDA	fire (9), listing (2)	listing (17)	0	0	FCTR (5)		
Income tax	+1	0	0	(61)	(8)		
Profit after tax (what the article printed)	7	(59)	(21)	(161)	(92)	loss narrowed 43%	
PBT excluding one-time (mine)	**17**	**(42)**	**(21)**	**(100)**	**(79)**	**loss narrowed 21%**	

Question. Reported loss narrowed 43%. Strip the tax entry and the one-offs and it narrowed 21%. Both true. Which number would the company lead with, which would a short seller lead with, and which one is the business?

Source: Urban Company Q1 FY27 shareholders' letter. ₹ Cr unless stated.

The core business sentence

"The core India consumer-services business, excluding InstaHelp, continued to grow profitably. Its NTV rose 29 per cent Y-o-Y to ₹1,056 crore, while adjusted Ebitda stood at ₹73 crore. The adjusted Ebitda margin improved to 6.9 per cent of NTV from 5.2 per cent a year earlier."

India Consumer Services ex InstaHelp. Article's basis: YoY.

Metric	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ	YoY
NTV	**816**	762	781	808	**1,056**	+31%	**+29%**
Adjusted EBITDA	43	18	44	26	73	+181%	+70%
Adj. EBITDA margin (% NTV)	**5.2%**	2.4%	5.6%	3.3%	**6.9%**	+360 bps	**+170 bps**

Question. The QoQ column says +360 bps, twice the YoY figure. Why did the journalist leave the bigger number on the table ?

Source: Urban Company Q1 FY27 shareholders' letter. ₹ Cr unless stated.

The InstaHelp sentence

"InstaHelp reported an adjusted Ebitda loss of ₹132 crore. Its unit economics, however, showed improvement, with loss per order narrowing to ₹346 from ₹447 in the March quarter."

InstaHelp. Article's basis: QoQ.

Metric	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ	YoY
Adjusted EBITDA	(10)	(44)	(61)	(119)	**(132)**	**loss widened 11%**	13x, n/m
Loss per order (₹)	(1,374)	(760)	(381)	**(447)**	**(346)**	**improved ₹101**	n/m
NTV (not in the article)	0.9	9.9	27.6	40.1	52.9	+32%	59x, n/m

Question. Look at the loss-per-order row across all five quarters. It got worse in Q4. What does a single QoQ comparison hide?

Source: Urban Company Q1 FY27 shareholders' letter. ₹ Cr unless stated.

The breakeven sentence

"The company expects to reach consolidated adjusted Ebitda breakeven by the third quarter of FY28."

Whole company as a bridge. Article's basis: none. It is a promise.

Metric	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ	YoY
Adj. EBITDA, everything except InstaHelp	**31**	10	44	22	**67**	+205%	**+116%**
Adj. EBITDA, InstaHelp	(10)	(44)	(61)	(119)	(132)	loss widened 11%	n/m
Adj. EBITDA, whole company	21	(35)	(17)	(98)	(65)	loss narrowed 34%	profit to loss

Row 1: ₹73 Cr India + ₹3 Cr International − ₹9 Cr Native. The article printed only ₹73 Cr.

Question. Row 3 has to reach zero in six quarters. Row 1 has just doubled in four. Which basis, QoQ or YoY, would you use to judge whether it can double again, and why is the answer different from card 3?

Source: Urban Company Q1 FY27 shareholders' letter. ₹ Cr unless stated.

TAKEAWAY 3 OF 3

Improvement has a direction, a distance and a date. Ask for all three.

4. POV Formulation

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Should a company take growth that is worse than the business it already has?

The new business arrives at **8.1%** against a base of **19.7%**. Every rupee of it makes the company worse today. Vote, then one line on what would change your mind.

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A segment worth 3.6 per cent of this company removed nine points of its margin

Q1 FY27	NTV	ADJ. EBITDA	MARGIN	WEIGHT	EFFECT ON THE BLEND
Core India services	1,056	73	+6.9%	72.1%	**+4.98 pts**
International	237	3	+1.3%	16.2%	+0.20
Native	119	(9)	(7.6%)	8.1%	(0.61)
InstaHelp	**53**	**(132)**	**(249%)**	**3.6%**	**(9.01) pts**
Consolidated	**1,465**	**(65)**	**(4.4%)**	100%	**(4.44)**

Urban Company Q1 FY27 letter, segment tables. ₹ crore. Weights and effects CALCULATED; the four segments sum exactly to the consolidated row

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What will you check when Q2 FY27 publishes ?

1. Core margin	Stalling or reversing. The whole case rests on the core staying healthy
2. Per order economics	InstaHelp ceasing to improve per order or per user
3. The date	Q3 FY28 slipping
4. Contribution margin	16.3% and falling for five quarters. If it turns, the new business has started paying
5. Incremental margin	Change in contribution profit over change in NTV. Below the base, the average keeps falling

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Session Outcomes

1. Reading Framework

3 pass reading, key idea synthesis & evidence analysis

2. Business Accumen

NTV, Revenue, different measures of Profitability, UE

3. Article Analysis & Data Restructuring

Minto Pyramid, YoY, QoQ, Industry Comparable

4. POV Formulation

5 things to check when Q2FY27 results are out